

[Figure 23.5](#) shows a single-diagonal pattern with the bottom coming before the top. The breakout is supposed to be downward, but it's not. [Figure 23.7](#) shows two single-diagonal patterns with the top coming before the bottom. The left one breaks out downward (the prediction fails), but the other diamond on the right shows a correct, upward breakout.

Sample Trade

Scott graduated from engineering college and took his first professional job at a growing software company. The job pays well, but he has many school loans and a mountain of debt. He thought of using his paycheck to keep ahead of the bills while depending on the bull market to furnish the luxuries.

He had his eye on a new stereo system and wanted it for a party he was hosting during the Fourth of July festivities. That did not leave him much time, so he searched for a chart pattern he could trade profitably. He chose the diamond bottom shown in [Figure 23.7](#) (the diamond on the right). Scott first noticed the diamond in May, a few days before the breakout. He believed that the price would not decline below 69.88, or 12 cents below the round number of 70, and at the same level as a couple of price peaks in January.

Risking just \$0.75 with a possible reward of \$3.75 (the pattern's height) gave him a risk-to-reward ratio of 5:1 (5 is the reward for every dollar risked).

“If everything worked as planned, I would make enough to buy the stereo.”

The day after the stock broke out upward, he bought and received a fill at 71.75 (near point C). “Entry was higher than I liked, but with the strength shown, I was sure the trade would work out. I placed a stop at 69.88 with my broker.”